

Fewer layoffs, longer searches

The white-collar labor market in September 2026: hiring stalled, announced layoffs fell, and long-term unemployment among managers and professionals rose by about a third from a year earlier.

0.75% White-collar labor force unemployed 27+ weeks, Jan–Aug 2026 (0.56% in 2025)	162 White-Collar Displacement Index, Aug 2026 (2019 = 100, seasonally adjusted)
27.1% Share of all unemployed out 27+ weeks, Sep 2026 (23.6% a year ago)	+29K Jobs added in September; unemployment rate 4.2%

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ABOUT THIS REPORT AND ITS INDEPENDENCE

The NextChapter Displacement Report is published monthly by NextChapter, a company that sells career-transition software and services to professionals, employers and workforce programs. NextChapter therefore has a commercial interest in this subject. To keep the analysis separate from that interest:

- All figures come from public sources or from NextChapter calculations on public data, with methods and data files published. No NextChapter customer data is used in any statistic.
- The measures reported each month are fixed in advance (see Appendix B), whether they move up or down.
- Survey-based estimates carry 90% margins of error, and changes are marked as statistically significant only when they clear that bar.
- Information about NextChapter's services appears only in the final "About NextChapter" section.

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EXECUTIVE SUMMARY**A low-hire, low-fire market that is hardest on people already out of work**

Most managers and professionals who have jobs are keeping them: announced layoffs are down from 2025 and white-collar unemployment is little changed at under 3%. But hiring nearly stalled in September, and people who do lose white-collar jobs are staying out much longer. Long-term unemployment among managers and professionals averaged 0.75% of the white-collar labor force in January–August 2026, up from 0.56% a year earlier and 0.47% in 2019. That one-year increase is statistically significant.

WHAT'S BETTER

- Announced layoffs are down 15% from 2025 excluding government (down 39% including the 2025 federal cuts).
- Unemployment for college graduates 25 and older is 2.5%, down from 2.8%.
- There is about one job opening per unemployed person (1.01), up from 0.94 a year ago.
- New jobless claims are low: 197,000 a week, versus 225,000 a year ago.
- Job growth this year (+612,000 through September) is ahead of 2025's pace.
- People who change jobs are getting 5.0% raises, versus 3.6% for those who stay.

WHAT'S WORSE

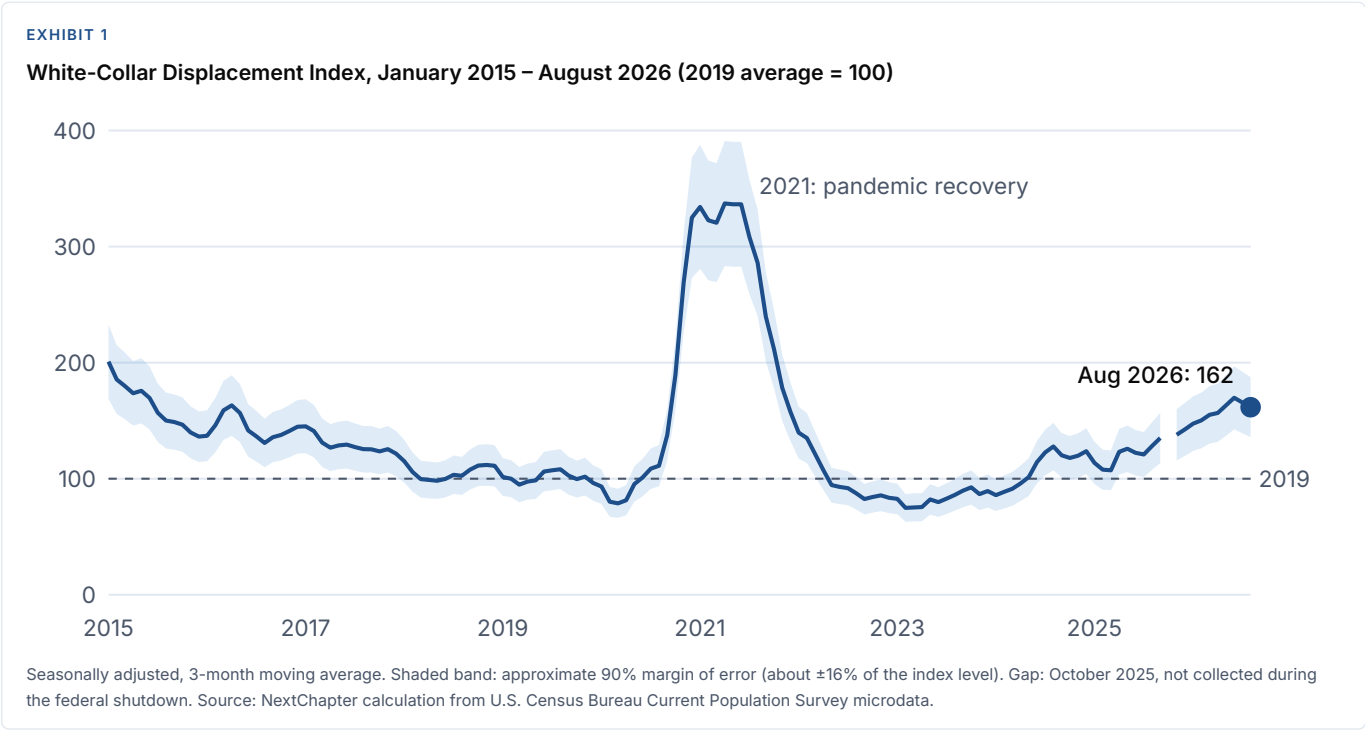
- Long-term unemployment among white-collar workers is up about a third from a year ago (significant).
- 27.1% of all unemployed people have been looking 27 weeks or more, up from 23.6%.
- Hiring nearly stalled: +29,000 jobs in September, and July was revised to a loss.
- Information (–120,000) and financial activities (–107,000) lost jobs over the year.
- Among unemployed white-collar workers aged 55–64, 39% have been out 27+ weeks, up from 27% (significant).
- About 39% of people on unemployment insurance exhaust their benefits.

"Significant" means the change is larger than its 90% margin of error. Unmarked changes from survey microdata may reflect sampling noise. See Appendix B.

CHAPTER 01

The NextChapter White-Collar Displacement Index

The index tracks long-term unemployment among managers and professionals: people whose last job was in management, business, financial or professional occupations and who have been unemployed 27 weeks or more, as a share of that labor force. It stood at **162 in August 2026** (2019 = 100), close to its June reading of 170, the highest since 2021.



Two cautions shape how to read the index. First, single months are noisy: the margin of error on a monthly reading is roughly ±26 points, so August 2026 (162) is not statistically different from August 2025 (128) on its own. The eight-month comparison below is. Second, the 2019 base was the strongest labor market of the past decade. The index ran between 131 and 201 in 2015–2016, so today's level is high relative to the late 2010s, not unprecedented.

EXHIBIT 2

White-collar measures, January–August average

MEASURE	2026	2025	2019	CHANGE VS 2025
Long-term unemployed, % of white-collar labor force	0.75%	0.56%	0.47%	+0.18 pts ±0.11 significant
White-collar unemployment rate	2.7%	2.5%	2.1%	+0.18 pts ±0.21 not significant
Unemployed white-collar workers out 27+ weeks	28.1%	22.8%	22.8%	+5.3 pts ±3.6 significant
All unemployed workers out 27+ weeks	25.6%	22.4%	20.8%	+3.2 pts ±1.8 significant

Not seasonally adjusted; January–August averages compare the same months each year. ± = approximate 90% margin of error on the change. White-collar = current or most recent job in management, business and financial, or professional and related occupations (about 73 million people in the labor force). These microdata shares differ from BLS's seasonally adjusted September figure (27.1%) because they cover different months and are not adjusted. Source: NextChapter calculation from Census CPS microdata.

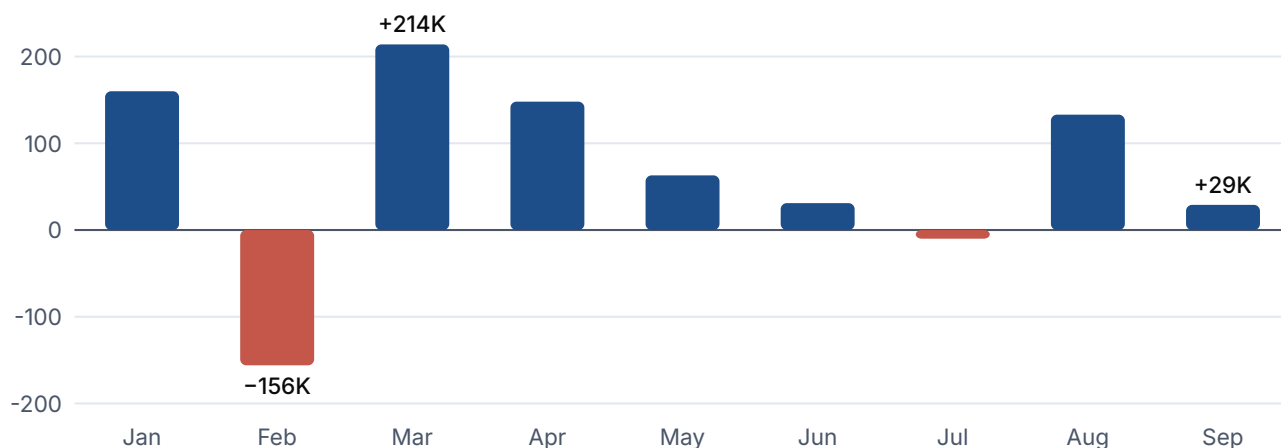
CHAPTER 02

Jobs and hiring

Employers added 29,000 jobs in September, below the 84,000 economists expected (per Axios). July was revised to a loss of 10,000 and August to +133,000, a combined downward revision of 60,000. Unemployment ticked up to 4.2% as more people joined the labor force. Over the first nine months of 2026 the economy added 612,000 jobs, versus 232,000 in the same months of 2025 on current data.

EXHIBIT 3

Monthly change in nonfarm payrolls, 2026 (thousands)



Seasonally adjusted. Source: BLS Current Employment Statistics via FRED (PAYEMS), as of October 2, 2026; NextChapter calculation of monthly changes.

EXHIBIT 4

Headline labor market indicators

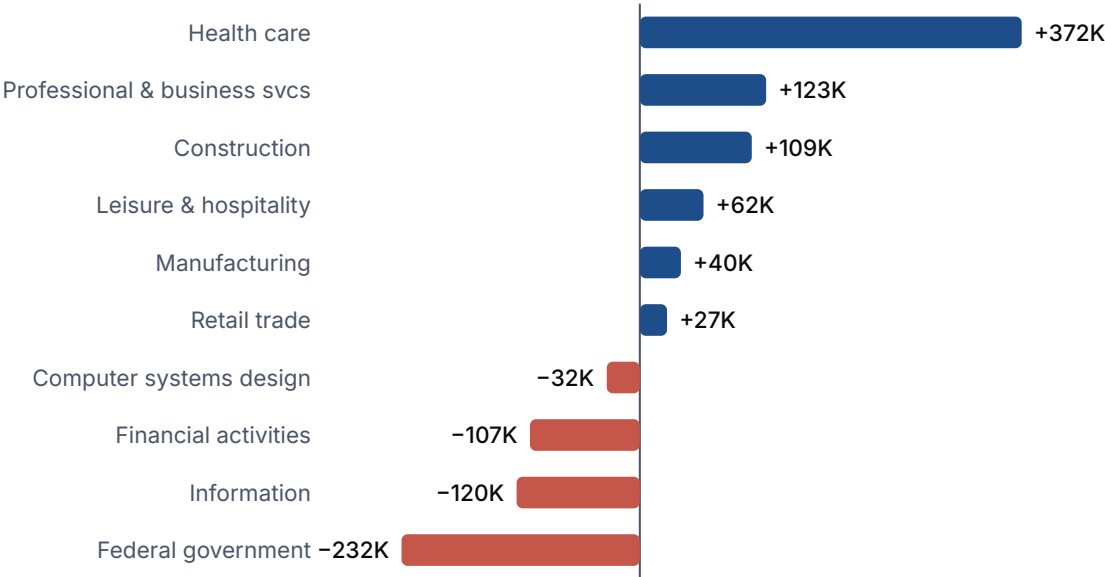
INDICATOR	LATEST	PRIOR MONTH	YEAR EARLIER
Unemployment rate (U-3), Sep	4.2%	4.1%	4.4%
Underemployment (U-6), Sep	7.6%	7.7%	8.1%
Long-term unemployed (27+ weeks), Sep	1.94M	1.93M	1.82M
Share of unemployed out 27+ weeks, Sep	27.1%	27.0%	23.6%
Median / average weeks unemployed, Sep	11.5 / 24.8	11.4 / 26.3	10.1 / 24.1
Unemployment, bachelor's degree+ (25+), Sep	2.5%	2.7%	2.8%
Unemployment, management, professional & related (NSA), Sep	2.5%	—	2.5%
Job openings (JOLTS), Aug	7.08M	7.34M	6.92M
Hires rate / quits rate, Aug	3.3% / 1.9%	3.2% / 1.9%	3.2% / 2.0%
Layoffs & discharges, Aug	1.64M	1.70M	1.83M
Openings per unemployed person, Aug	1.01	1.06	0.94
Initial jobless claims, week of Sep 26	197K	198K	225K
Wage growth, job switchers / stayers, Aug	5.0% / 3.6%	4.4% / —	—

Seasonally adjusted unless marked NSA. Openings per unemployed person is a NextChapter calculation from BLS levels. Sources: BLS Employment Situation (Oct 2, 2026); BLS JOLTS (Sep 29, 2026); DOL weekly claims (Oct 1, 2026); Federal Reserve Bank of Atlanta Wage Growth Tracker (Sep 10, 2026).

The problem for job seekers is not a wave of firings. Layoffs and discharges are near 1% of jobs. It is a slow market: few people quit, few seats open up, and employed people who switch jobs still win 1.4 points more in raises than those who stay, so displaced candidates compete with employed ones for a thin flow of openings.

EXHIBIT 5

Change in jobs by industry, September 2025 to September 2026 (thousands)



Seasonally adjusted. "Health care" excludes social assistance (health care and social assistance combined: +520K). Professional and business services, the largest white-collar sector, grew. Source: BLS via FRED; NextChapter calculation.

Information and financial activities are where white-collar jobs are disappearing. Professional and business services grew by 123,000 over the year, though computer systems design lost 32,000. Federal employment is down 327,000 since December 2024.

CHAPTER 03

Layoffs and the AI attribution gap

Employers announced 43,281 job cuts in September, the fewest for a September since 2022, according to Challenger, Gray & Christmas. Year to date, announced cuts total 573,195, down 39% from 2025. Most of that decline reflects the 2025 federal workforce cuts falling away: excluding government, cuts are down 15%. Hiring plans were the lowest for any September since 2011.

EXHIBIT 6

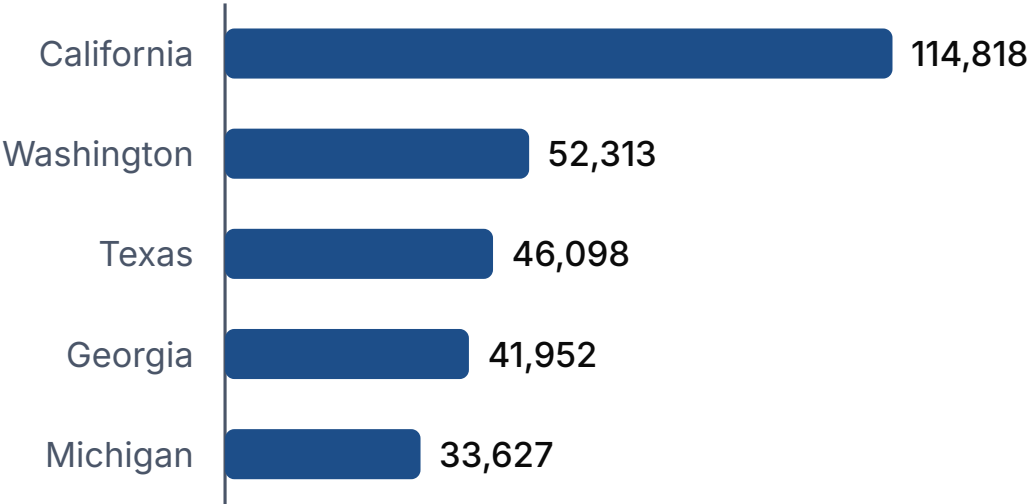
Top stated reasons for announced job cuts, 2026 to date



Reasons are as stated by employers in announcements. Source: Challenger, Gray & Christmas (Oct 1, 2026).

EXHIBIT 7

States with the most announced cuts, 2026 to date



Source: Challenger, Gray & Christmas (Oct 1, 2026).

Technology accounts for 165,925 announced cuts this year, 29% of the total and up 54% from 2025. TrueUp counts 190,933 people affected by tech layoffs in 2026 so far, against 245,953 in all of 2025. Notable September announcements include Uber (about 3,300, citing fewer management layers), Workday (about 500, restructuring) and Microsoft (about 500, Xbox).

What companies say about AI versus what they file

Employers cited AI as the reason for 120,136 announced cuts this year, about 21% of the total and the most-cited reason, per Challenger. Formal filings rarely say the same. We searched every 2026 SEC Form 8-K that references Item 2.05, the item public companies use to report material restructuring costs, and read the AI passages in each match.

EXHIBIT 8			
How often AI is cited: announcements versus legal filings, 2026 to date			
SOURCE	CITES AI	OUT OF	SHARE
Challenger: announced job cuts attributed to AI (workers)	120,136	573,195	21%
SEC 8-K filings referencing Item 2.05 that mention "artificial intelligence" anywhere (filings)	8	170	4.7%
...that mention AI, automation or machine learning anywhere	14	170	8.2%
...whose restructuring disclosure itself references AI	2	170	1.2%
New York WARN notices with the AI box checked, first year (Mar 2025–Mar 2026)	0	160+	0%
SEC counts are distinct filings (accession numbers) returned by EDGAR full-text search for form 8-K, January 1–September 30, 2026, query "Item 2.05" with and without "artificial intelligence", "automation" and "machine learning" (run October 5, 2026). The 8 "artificial intelligence" matches come from 7 companies (Cloudflare filed an amendment); 6 mention AI only in risk-factor or forward-looking language. The two restructuring disclosures that reference AI are Cloudflare ("an agentic AI-first operating model") and Cisco (reinvesting in growth areas including AI). The 6 additional "automation"/"machine learning" matches were not hand-reviewed. Item 2.05 covers only material exit costs at public companies, while Challenger counts all announced cuts, so the populations differ. New York figure: Hulton Andrews Kurth (May 18, 2026).			

The gap shows that AI is far more prominent in how layoffs are announced than in how they are formally disclosed. It does not show why. Possible explanations include companies describing cuts differently for different audiences, AI being one factor among several, and legal caution about attributing job losses to a cause. California's SB 951, effective January 1, 2027, will require layoff notices to say when cuts are caused "in substantial part" by AI or automation, which should make this comparison sharper.

CHAPTER 04

Where long searches are concentrated

Long searches rose across most occupations, which points to a broad slowdown rather than one sector. Against that backdrop, computer and mathematical occupations stand out: 41% of their unemployed have been out 27 weeks or more, up from 28%, the only occupation where the rise is statistically significant.

EXHIBIT 9

Unemployed out 27+ weeks, by occupation of last job, January–August

OCCUPATION	2026	2025	CHANGE (±90% MOE)	CHANGE MINUS ALL-OCCUPATION CHANGE	UNEMPLOYMENT RATE 2026 / 2025	SURV
Computer & mathematical	41.0%	27.5%	+13.5 ±11.6 significant	+10.3	3.3% / 3.1%	
Business & financial operations	30.5%	23.1%	+7.4 ±9.7	+4.2	2.8% / 2.6%	
Management	30.3%	26.4%	+3.9 ±7.3	+0.7	2.4% / 2.1%	
Architecture & engineering	28.2%	28.1%	+0.1 ±20.5	-3.1	1.9% / 1.6%	
Office & administrative support	26.4%	23.7%	+2.7 ±6.3	-0.5	3.9% / 3.8%	
Arts, design, entertainment & media	23.2%	24.3%	-1.1 ±11.2	-4.3	5.5% / 5.3%	
Healthcare practitioners	22.6%	19.4%	+3.2 ±11.5	0.0	1.6% / 1.6%	
Education, training & library	18.9%	13.4%	+5.5 ±7.2	+2.3	3.5% / 3.1%	
All occupations	25.6%	22.4%	+3.2 ±1.8 significant	—	4.4% / 4.3%	

Share of unemployed people whose last job was in each occupation who have been unemployed 27 weeks or more. Not seasonally adjusted; January–August of each year pooled. Respondents = unweighted count of unemployed survey respondents across the 8 months (the same people can appear in several months). None of the unemployment-rate changes shown is statistically significant. Occupations with fewer than about 100 unemployed respondents (such as legal) are not reported. Source: NextChapter calculation from Census CPS microdata.

EXHIBIT 10

White-collar workers out 27+ weeks, by industry of last job, January–August

INDUSTRY	2026	2025	CHANGE (±90% MOE)	UNEMPLOYMENT RATE 2026 / 2025	RESPONDENTS 2026
Information (tech, media, telecom)	35.4%	26.3%	+9.1 ±17.2	4.9% / 4.6%	201
Professional & business services	31.7%	24.9%	+6.8 ±8.1	3.2% / 2.9%	831
Financial activities	31.1%	33.2%	-2.1 ±14.4	2.3% / 2.1%	286
Manufacturing	35.5%	32.1%	+3.4 ±14.5	2.7% / 2.5%	288
Public administration	27.7%	20.1%	+7.6 ±17.1	1.8% / 1.6%	164
Education & health services	22.5%	18.3%	+4.2 ±5.7	2.6% / 2.3%	1,366

White-collar = management, business, financial and professional occupations. No industry change is statistically significant at this sample size; the direction is consistent with BLS payroll losses in information. Source: NextChapter calculation from Census CPS microdata.

What independent research says about AI, functions and seniority

Our tables show where long searches are concentrated; they do not show what caused them. Research that tracks AI exposure directly points the same way on two points: early-career

workers and some tech occupations are most affected, and most of the effect is on hiring rather than firing.

Seniority · Stanford Digital Economy Lab (Aug 2026)

Employment of 22–25-year-olds in the most AI-exposed jobs is 19% below comparable peers, up from 15% a year earlier. Older workers show no comparable gap; declines are concentrated where AI automates tasks rather than assists.

Seniority · Revelio Labs (Aug 2026)

Compared with non-adopters, firms using AI grew senior roles by 32% but junior roles by only 6%.

Job postings · Indeed Hiring Lab (Jul 2026)

Senior postings rose 14.7% over the year to May 2026 while entry-level postings fell 7.5%.

Job titles · Stanford; Anthropic

Software developers and customer service representatives show the clearest early-career employment declines. AI usage data show the heaviest task coverage in data entry, software development, medical transcription and database architecture.

Broad effect · Yale Budget Lab; Federal Reserve (Sep 2026)

The occupational mix is not yet shifting in ways tied to AI. Fed Governor Barr saw "little evidence of significant displacement so far" but "some indications" of fewer entry-level jobs.

Middle management · surveys

41% of employees say their organization cut management layers (Korn Ferry survey, cited by Forbes, May 2026). There are no hard counts yet of manager headcount, so "flattening" remains a trend to watch.

CHAPTER 05

Long-term unemployment and age

According to BLS, 1.94 million people had been unemployed 27 weeks or more in September, 27.1% of all unemployed, up from 23.6% a year earlier. Most of them have been out far longer than six months: about two in three have been looking for a year or more.

EXHIBIT 11

How long the long-term unemployed have been looking, January–August average

AMONG PEOPLE UNEMPLOYED 27+ WEEKS	ALL 2026	ALL 2025	WHITE-COLLAR 2026	WHITE-COLLAR 2025
Long-term unemployed (thousands, monthly average)	1,895	1,644	546	412
Looking 27–51 weeks	34.6%	41.4%	39.4%	45.9%
Looking 1–2 years	40.9%	33.0%	35.6%	33.6%
Looking 2 years or more	24.5%	25.6%	25.0%	20.5%
Looking 1 year or more (total)	65.4%	significant rise58.6%	60.6%not significant	54.1%
Average weeks looking so far	64	63	64	59

Durations are spells in progress: how long people who are still unemployed have been looking so far, not how long it takes to find work. The survey caps reported durations at 119 weeks, so averages understate the longest spells. Not seasonally adjusted. Source: NextChapter calculation from Census CPS microdata.

Age

Age shapes how long searches last more than whether people lose jobs. Among unemployed white-collar workers aged 55–64, 39% have been looking 27 weeks or more, up from 27% a year earlier, a statistically significant rise. Younger professionals lose jobs somewhat more often but find work faster. Across all workers, unemployment for ages 25–34 rose to 4.8% from 4.3% (significant), consistent with research showing fewer entry-level openings.

EXHIBIT 12

White-collar workers by age, January–August

AGE	UNEMPLOYMENT RATE 2026 / 2025	OUT 27+ WEEKS 2026	2025	CHANGE (±90% MOE)	MEDIAN WEEKS SO FAR 2026 / 2025
Under 35	3.3% / 3.0%	20.5%	16.6%	+3.9 ±5.7	9 / 8
35–44	2.1% / 2.1%	27.1%	23.5%	+3.6 ±7.9	12 / 9
45–54	2.3% / 2.1%	32.0%	25.6%	+6.4 ±8.6	13 / 12
55–64	2.7% / 2.5%	39.4%	26.5%	+12.9 ±9.2significant	20 / 12
65+	3.0% / 2.9%	32.2%	33.1%	−0.9 ±12.5	10 / 12

Median weeks are for people still unemployed and cluster at round numbers people report (such as 12 or 26 weeks), so treat medians as indicative. No unemployment-rate change by age is significant. Not seasonally adjusted. For comparison, BLS's September figures for all occupations, ages 55–64, show an average of 34.9 weeks unemployed and about 31% out 27+ weeks (NSA). Source: NextChapter calculation from Census CPS microdata; BLS.

Bias · AARP (Mar 2026)

64% of workers 50+ have seen or experienced age discrimination at work; 22% felt pushed out. The most common bias is the assumption that older workers lack tech skills (33%).

AI and older workers · Boston College CRR (Jun 2026)

Workers 55+ in AI-exposed occupations have seen relatively large increases in exits into unemployment since ChatGPT launched.

Résumé gaps · Socio-Economic Review (2026)

A meta-analysis of 28 résumé experiments finds gaps under six months do not hurt callbacks; penalties begin around 12 months and are larger for people who appear to have stopped looking.

Scarring · Goldman Sachs (Apr 2026)

Workers displaced by technology search about a month longer and see roughly 10 points less earnings growth over a decade; vocational training within three years of job loss is linked to better outcomes.

CHAPTER 06

Applying in 2026: volume, screening software and AI on both sides

Applications per job have roughly doubled since 2022, so each application is far less likely to get a response. Candidates use AI to apply faster, employers use AI to screen faster, and trust on both sides has fallen.

EXHIBIT 13

The application funnel, by source

Applications per job, 2025 (Greenhouse, North America) 244 about 115 in 2022	Applications per hire, 2026 (Ashby) 300+ about 3x the 2021 level	Applications per interview, job-tracker users (Huntr, Q1 2026) 24–48 tailored vs. generic résumé	Median time from search start to offer, job-tracker users (Huntr, Q1 2026) 108 days Huntr Q1 2026 report
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Greenhouse and Ashby figures come from their customers' hiring systems; Huntr figures come from people who use its job-tracking tool, who skew toward heavy appliers. All three companies sell hiring or job-search software. Applications per interview is a NextChapter calculation from Huntr's interview rates (4.2% tailored, 2.1% generic).

How many applications it takes

Among Huntr users, two-thirds of offers came within 50 applications. Interview rates fall as volume rises: 9.3% per application for people sending 11–20, 2.6% for people sending 100 or more. In that sample, seekers with 20+ years of experience had the highest interview rate (9.2%).

Recruiters are overloaded

Greenhouse counts 746 applications per recruiter per year in 2025, up from 146 in 2022, while recruiters per organization fell to 5 and time to fill rose to 57 days.

AI on both sides

In Greenhouse's November 2025 survey (U.S. subset: 1,200 job seekers, 665 hiring professionals), 70% of hiring managers said AI leads to faster, better decisions, but only 8% of job seekers called it fair. 41% of U.S. job seekers said they had put hidden instructions in résumés to get past AI filters. Only 21% of recruiters were very confident their AI does not reject qualified candidates.

Fake jobs, fake candidates

69% of job seekers said they had seen fake job postings (Greenhouse). Gartner forecasts that one in four candidate profiles worldwide will be fake by 2028; that is a prediction, not a measurement.

Employer adoption · SHRM (Apr 2026)

39% of organizations use AI in HR, rising to 60% of those with 5,000+ employees; recruiting is the most common use.

Law and litigation

Illinois began regulating AI in hiring decisions on January 1, 2026. California's rules on automated decision systems (October 2025) hold employers responsible for their vendors' tools. Colorado replaced its AI Act with a narrower law effective January 2027. In *Mobley v. Workday*, a nationwide age-discrimination case over AI screening of applicants 40 and older, about 14,000 people reportedly opted in; the case is in discovery. The EEOC withdrew its AI hiring guidance in January 2025.

CHAPTER 07

Skills, retraining and universities

AI skills now carry a measurable pay premium, and demand for them has spread well beyond tech. Universities are responding mainly with free certificates for alumni, while public retraining money is not yet reaching professionals.

Pay premium · Lightcast (Jul 2025)

U.S. postings that list AI skills offer 28% higher pay, about \$18,000 a year; 51% are outside IT and computer science. Demand for AI skills grew 66% a year in HR, 50% in marketing and 40% in finance.

Pay premium · PwC (Jun 2026, global)

Workers with AI skills earn a 62% wage premium on average, up from 57%. PwC measures worker wages and Lightcast posted salaries, so the two are not directly comparable.

Fastest-growing skill · McKinsey (Nov 2025)

Demand for "AI fluency" in postings grew almost sevenfold in two years.

Rising skills · LinkedIn; WEF

LinkedIn's 2026 U.S. list of fastest-growing skills (as reported by EdTech Innovation Hub) is led by AI implementation, workflow automation and AI business strategy. The World Economic Forum expects about 39% of core skills to change by 2030.

EXHIBIT 14

Selected university programs for alumni, 2025–2026

SCHOOL	WHAT ALUMNI GET	SINCE
Purdue	50 free online courses, including Google Career Certificates and AI courses	Feb 2026
University of Michigan	Free Google Career Certificates and 300+ free courses for about 700,000 alumni	Jan 2026
Indiana University	Free "GenAI 101" course for 805,000+ alumni	Oct 2025
NYU	Free Google AI Professional Certificate for all alumni (as reported by Forbes)	Jun 2026
Penn State	Free job-search series for alumni facing a layoff or career pivot	May 2026
Cornell	30% off eCornell certificates; alumni career relaunch program	2026
Northeastern	25% tuition scholarship for alumni on online graduate certificates, including AI	2026
Stanford GSB, HBS, Duke Fuqua	Free alumni career coaching: lifetime (Stanford GSB), six sessions a year (HBS), up to four a year (Fuqua)	Ongoing

Not a complete list. We found no national survey measuring how many colleges offer lifelong career services to alumni. Sources: university pages and releases; Forbes (Jun 9, 2026).

Alumni view · NACM (2024)

In a survey of 9,000+ alumni at 34 institutions, 49% rated their school highly on career preparation and 23% on its ongoing investment in their careers.

Adult learners

First-time college students aged 25+ fell 15.5% from fall 2024 to fall 2025, as reported by Inside Higher Ed.

Workforce Pell

Short-term Pell grants for 8–15-week programs began July 1, 2026, and bachelor's degree holders can qualify. Programs approved so far are in trades and health care, not white-collar retraining.

WIOA and funding

H.R. 8210 (A Stronger Workforce for America Act) passed committee on a party-line vote; the House FY2027 Labor-HHS bill would cut Labor Department training by about \$3.3–3.7 billion while raising the Dislocated Worker National Reserve to \$326 million. Labor Department guidance (TEGL 15-25) made about \$50 million in "Rapid Reskill" grants available for workers affected by AI.

Does retraining work? · Anthropic (Aug 2026)

A review of 56 U.S. randomized trials finds training raises employment 2–3 points and earnings about \$1,000 a year, at roughly \$13,000 per participant; sector programs built with employers do several times better.

State partnerships · California (Jul 2026)

"AI-Ready California" offers free AI-literacy micro-credentials through San Diego State, including to unemployment-insurance claimants, and the state now tracks jobless claims in AI-exposed occupations monthly.

CHAPTER 08

States: where jobs grew most and least

Over the year to August 2026, job growth was fastest in South Carolina, New Mexico and Louisiana (+1.6% each), and Texas added the most jobs (+159,400). The District of Columbia was the only place with a statistically significant decline (−27,000, −3.6%), driven by government job losses.

EXHIBIT 15

Payroll job change by state, August 2025 to August 2026

FASTEST GROWTH	JOBS	%
South Carolina*	+38,600	+1.6%
New Mexico*	+14,500	+1.6%
Louisiana*	+32,100	+1.6%
Minnesota*	+43,900	+1.5%
North Carolina*	+65,600	+1.3%
Texas*	+159,400	+1.1%
WEAKEST	JOBS	%
District of Columbia*	−27,000	−3.6%
Montana	−5,000	−0.9%
Virginia	−37,700	−0.9%
Oregon	−16,100	−0.8%
Indiana	−16,100	−0.5%
New Jersey	−9,900	−0.2%

* Statistically significant change according to BLS. Seasonally adjusted. Percent changes are NextChapter calculations from BLS levels. Source: BLS State Employment and Unemployment, August 2026 (Sep 18, 2026).

For white-collar work the split is sharp. Professional and business services jobs grew about 3% in Texas and North Carolina but fell in Virginia (−1.8%), DC (−2.7%), California and Massachusetts. Financial-activities jobs fell in California, Washington, Massachusetts, Virginia and Maryland. Unemployment rates are highest in DC (5.7%), California, Connecticut and Oregon (5.1% each) and Michigan (5.0%), and lowest in South Dakota (2.0%) and North Dakota (2.2%). Connecticut (+1.0 point) and Oklahoma (+0.9) had the largest over-the-year increases; New Jersey (−1.2) and Ohio (−1.1, a record low of 3.3%) improved most.

CHAPTER 09

The safety net and policy

In the 12 months to August 2026, 39.3% of unemployment insurance claimants exhausted their benefits. Claimants drew benefits for 15.8 weeks on average, at \$493 a week. These are completed benefit spells; the 24.8-week average in Exhibit 4 is for searches still in progress, so the two measure different things. Together they suggest many long-term job seekers are past the end of their benefits.

Uneven access

State reciprocity rates ranged from 8% to 55% of the unemployed in 2025 (Minneapolis Fed). Florida and North Carolina cap benefits at 12 weeks. Virginia raised its maximum weekly benefit to \$478 and Iowa to \$790 in July 2026.

Severance

Some states delay or offset benefits during paid severance; executives should check their state's rules before filing.

Paid family leave

Delaware and Minnesota began paying benefits January 1, 2026, and Maine on May 1; Minnesota received about 100,000 applications in six months. Maryland's start is delayed to 2028. Returnship programs continue at large employers, but we found no reliable 2026 count.

AI layoff disclosure

California's SB 951 takes effect January 1, 2027. A federal bill, the AI-Related Job Impacts Clarity Act, would require large employers to report AI-related layoffs to the Labor Department.

Funding timeline

A federal stopgap keeps workforce programs funded through December 11, 2026.

CHAPTER 10

For context: new graduates and blue-collar work

New graduates. The entry-level picture is mixed. Unemployment for 20–24-year-olds fell to 8.0% from 9.2%, and employers told NACE in the spring they planned to hire 5.6% more graduates from the class of 2026. But the New York Fed puts recent-graduate unemployment near 5.6% and underemployment at 42%, and an NBER study found no summer 2026 spike in graduate unemployment.

Blue-collar work. Hands-on sectors carried more of the job growth: construction added 109,000 jobs over the year and manufacturing is up 72,000 since its December low, while health care added about 372,000. This contrast with shrinking office sectors is one reason the overall numbers look steadier than white-collar workers feel.

CHAPTER 11

What to watch and release calendar

The BLS jobs report is released at 8:30 a.m. Eastern, usually on the first Friday of the month. This report publishes within two business days after it; the White-Collar Index is updated when the Census Bureau posts that month's microdata, usually one to two weeks later.

Nov 3	JOLTS for September: whether openings keep sliding toward one per unemployed person.
Early Nov	Challenger job cuts for October, including AI-attributed cuts.
Nov 6	BLS jobs report for October. Watch long-term unemployment and the information and finance sectors.
Mid-Oct / Nov	Census microdata for September and October; White-Collar Index updates.
Dec 4	BLS jobs report for November.
Dec 11	Federal stopgap funding expires, with FY2027 workforce cuts proposed.
Jan 1, 2027	California's AI layoff-disclosure law takes effect; Colorado's AI law follows.

FREQUENTLY ASKED QUESTIONS

FAQ

What is the NextChapter White-Collar Displacement Index?

A monthly measure of long-term unemployment among managers and professionals: people whose last job was in management, business, financial or professional occupations and who have been unemployed 27 weeks or more, as a share of that labor force. It is seasonally adjusted, averaged over three months and set to 2019 = 100, calculated by NextChapter from Census CPS microdata. It was 162 in August 2026.

What was the U.S. unemployment rate in September 2026?

4.2%, up from 4.1% in August and down from 4.4% in September 2025, according to BLS. Employers added 29,000 jobs.

How many people are long-term unemployed?

1.94 million people had been unemployed 27 weeks or more in September 2026, 27.1% of all unemployed, up from 23.6% a year earlier. About two in three of them have been looking for a year or more.

How many layoffs have been blamed on AI in 2026?

Employers attributed 120,136 announced job cuts to AI from January through September 2026, about 21% of announced cuts (Challenger, Gray & Christmas). AI appears far less often in formal filings: 2 of 170 SEC restructuring filings reference AI in the restructuring disclosure itself.

Is AI causing higher unemployment?

Most 2026 research, including from the Yale Budget Lab and the Federal Reserve, finds no broad AI effect on unemployment yet. Stanford and others find reduced hiring of young workers in highly AI-exposed jobs.

How many applications does it take to get a job in 2026?

Employers received about 244 applications per job in 2025 (Greenhouse) and more than 300 per hire in 2026 (Ashby). Among users of the Huntr job tracker, two-thirds of offers came within 50 applications, and it took roughly 24–48 applications per interview.

When is the next BLS jobs report?

The October 2026 report comes out Friday, November 6, 2026 at 8:30 a.m. Eastern, and the November report on Friday, December 4.

APPENDIX A

Experimental measures

These measures are new, small or qualitative. They are not used in the executive summary or the headline findings until they meet the standards in Appendix B.

Senior openings tracker (pilot)

NextChapter collects director-level and above job postings from retained search firms, venture and private-equity portfolio job boards, industry associations and employer career sites. We compare only the 17 sources collected in both August and September 2026.

EXHIBIT A1

New senior postings, same 17 sources, August vs. September 2026

POSTINGS	AUGUST	SEPTEMBER	CHANGE
All director - and -above	358	288	-20%
VP, head-of, C-suite and board	192	153	-20%
Director, principal and chief of staff	166	135	-19%
Listed as remote	40 (11.2%)	13 (4.5%)	—
Data and AI leadership	14	21	+7 postings
Marketing leadership	40	15	-25 postings

Public job postings only; no NextChapter user data. Sources are a small, non-random set, and part of the August-to-September change is likely seasonal. Year-over-year comparisons will begin once a full year of data exists.

Field notes (qualitative)

These are impressions from conversations with senior professionals who use NextChapter. They are not statistics, the group is small and not representative, and NextChapter has a commercial relationship with these users. Several people we speak with left jobs voluntarily rather than being laid off; career returners frequently raise how to explain a gap; and the barriers people name most often are perceived age bias, applications that receive no response, and AI skills.

APPENDIX B

Methodology, standards and revisions

Definitions

White-collar

People whose current or most recent job is in Census major occupation group 1 (management, business and financial) or 2 (professional and related): variable PRMJOC1 = 1 or 2. Unemployed people with no prior job have no occupation and are excluded.

Labor force, unemployed

Labor force = PEMPLR 1–4; unemployed = PEMPLR 3–4 (on layoff or looking). Estimates use the composite weight PWCMPWGT, the weight BLS uses for labor-force estimates.

Long-term

Unemployed 27 weeks or more (PRUNEDUR $\geq$ 27). Durations are spells in progress, top-coded at 119 weeks.

Index

White-collar long-term unemployed as a share of the white-collar labor force, seasonally adjusted, 3-month moving average, divided by its 2019 average and multiplied by 100. October 2025 was not collected; averages spanning it use the available months.

Seasonal adjustment

The index is seasonally adjusted with monthly factors equal to each calendar month's average ratio to its year's mean, estimated over 2015–2019 and 2022–2025 (pandemic years 2020–2021 excluded) and normalized to average 1.0 (Jan 1.104, Feb 1.059, Mar 0.998, Apr 0.949, May 0.907, Jun 0.926, Jul 1.039, Aug 1.075, Sep 1.057, Oct 0.995, Nov 0.965, Dec 0.926). Factors are re-estimated once a year. This is simpler than the X-13ARIMA-SEATS method BLS uses; we plan to adopt X-13 once the series has enough post-pandemic history. All other microdata comparisons use the same months in each year (January–August) and are not seasonally adjusted.

Margins of error

The CPS is a sample survey, and households are interviewed in several consecutive months. We report approximate 90% margins of error using a conservative rule: a design effect of 2.0, with eight pooled months counted as 3.2 independent months and three-month averages as 1.5. This yields ± 26 index points on a single monthly reading and ± 0.11 percentage points on the January–August long-term rate comparison. A change is labeled "significant" only if it exceeds its 90% margin. Groups with fewer than about 100 unemployed respondents are not reported. We plan to replace this approximation with Census generalized variance parameters or replicate weights.

Measures reported every month

To avoid reporting only the cells that moved, each edition reports this fixed list regardless of direction: the White-Collar Index; white-collar unemployment and long-term rates and shares; long-term duration bands for all and white-collar workers; long-term shares by occupation (Exhibit 9 groups), by white-collar industry (Exhibit 10 groups) and by white-collar age group; BLS headline indicators (Exhibit 4); JOLTS; Challenger cuts and AI attributions; the SEC Item 2.05 comparison; state payroll leaders and laggards; and unemployment-insurance exhaustion.

Other NextChapter calculations

Year-to-date and over-the-year payroll changes are calculated from FRED levels as of October 2, 2026, and will change with revisions. Openings per unemployed person divides JOLTS openings by CPS unemployment. State percent changes use BLS levels. The SEC

comparison counts distinct filings returned by EDGAR full-text search and is described in the note to Exhibit 8.

Revisions and corrections

Government data are revised. Each edition reflects data available on its "data through" date. Errors are corrected in the online edition with a dated note below, and the data files are updated to match. Send corrections to justin.kulla@consequentialcapital.com.

VERSION LOG		
VERSION	DATE	CHANGE
1.0	Oct 5, 2026	First publication.

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Data: report figures (CSV) · White-Collar Index history, 2015–2026 (CSV). Charts and data may be republished with attribution under CC BY 4.0. Index code is available on request.

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ABOUT NEXTCHAPTER

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NextChapter is a career-transition platform for senior professionals and executives, and offers programs for employers, universities and public workforce agencies. This section is the only part of the report that describes NextChapter's services. Learn more at launchyournextchapter.com.

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